Ramkrishna Forgings Ltd (RKFORGE)

Q4 FY26 | Concall: 4 May 2026 | NSE:RKFORGE | Consolidated

CMP ■574 Mkt Cap ■10,436 Cr P/E 129x EV/EBITDA 19.9x P/B 3.17x ROCE 5.60%

■ MATERIAL POST-CONCALL EVENT — 12 May 2026: S R Batliboi & Co. LLP (an EY affiliate) resigned as statutory auditor of Ramkrishna Titagarh Rail Wheels Limited (RTRWL), a material subsidiary and the key growth vehicle for FY27. The resignation effective 12 May 2026 — just 8 days after the concall — was not discussed on the call. RTRWL is scheduled to commence commercial production in Q1 FY27. Management has yet to explain the reason for this departure. Monitor closely.

BLOCK 1 — THE VERDICT

RESULT **BEAT** — Revenue +28% YoY, EBITDA +107% YoY, margins back to 17%

MGMT TONE **4/5 — BULLISH** vs prior concall: **More Confident** | Multiple catalysts enumerated; tone markedly upbeat vs depressed H1 FY26 calls

BOTTOM LINE

Q4 FY26 is RKFORGE's best quarter in six — revenue of ■1,217 cr (+28% YoY, +11% QoQ) and EBITDA margins recovering sharply to 17.1% from a trough of 10% in Q4 FY25 confirm the operating leverage inflection the bull thesis was waiting for. The numbers are real: not driven by a one-off but by volume scale (Class 8 North America recovering, domestic CV resilient) and an improving mix (44% non-auto orders in Q4, railways now 7.5% of revenue). The concern is the debt load — ■2,449 cr with interest coverage at 1.45x is thin — and three fresh risk factors: (1) the statutory auditor resignation at RTRWL, the very subsidiary management is betting ■400–450 cr of FY27 revenue on; (2) gas cost recovery still unresolved; and (3) cold forging utilisation stuck at 40% awaiting PV customer approvals. The FY27 guidance frame is ambitious but credible if RTRWL delivers — I would hold the position but would not add until the auditor situation is explained and Q1 FY27 RTRWL numbers are visible.

BLOCK 2 — FINANCIAL SCORECARD

Metric	Mar 2025 (4Q ago)	Dec 2025 (Prior Q)	Mar 2026 (Latest Q)	YoY %	QoQ %
Revenue (■ Cr)	947	1,099	**1,217**	+28.5%	+10.7%
Gross Profit (■ Cr)	N/A	N/A	N/A	N/A	N/A
Gross Margin %	N/A	N/A	N/A	N/A	N/A
EBITDA (■ Cr)	98	162	203	+107%	+25.3%
EBITDA Margin %	10%	15%	17%	+700 bps	+200 bps
PAT (■ Cr) †	200*	14	56	N/M*	+300%
PAT Margin %	21%*	1.3%	4.6%	N/M*	+330 bps
EPS (■)	11.04*	0.75	3.08	N/M*	+311%

† Mar 2025 PAT of ■200 cr is not comparable — it includes an exceptional deferred tax asset credit (tax line was -945%); underlying PBT was -■24 cr in that quarter. Normalized YoY PAT comparison is strongly positive.

MARGIN MOVEMENT

EBITDA margins expanded **+200 bps QoQ** from 14.7% in Dec 2025 to **17.1% in Mar 2026**, driven by volume absorption on a near-fixed-cost base (depreciation remained flat QoQ at ■88 cr). Raw material costs as a share of revenue were lower as steel prices softened further, cushioning the ■6 cr QoQ increase in interest costs (■51 cr → ■57 cr). YoY, the 700 bps margin recovery from trough 10% reflects both volume recovery (+28% revenue) and better portfolio mix — non-auto accounted for 44% of new order intake in Q4. Gas cost inflation is an unresolved headwind that management estimates could yield an additional **100–150 bps** if recovered through customer pass-throughs currently under force-majeure discussions.

BALANCE SHEET

Total debt stood at ■2,449 cr at Mar 2026 (up from ■2,126 cr in Mar 2025 and just ■1,333 cr in Mar 2023), a near-doubling in two years driven by the aggressive capex programme. D/E is 0.74x — manageable but rising. Interest coverage of **1.45x is uncomfortably thin** and the single biggest balance-sheet risk. Positively, FY26 CFO came in at a strong ■840 cr (vs ■33 cr in FY25 — a year distorted by working capital build), and FCF improved dramatically to **-■39 cr** from -■932 cr as capex moderated. Debtor days improved to 68 days (FY26) from 88 days (FY25) and working capital days compressed to 13.2 days. Management has guided to **■400–500 cr debt reduction in FY27**, partly funded by promoter equity infusion, and capex is dropping sharply to ■300–400 cr vs ■929 cr in FY26. If delivered, FY27 should be the FCF inflection year.

KEY OPERATING KPIs

- FY26 total revenue: ■4,238 cr (+5% YoY vs ■4,034 cr); growth muted full-year due to weak H1, but Q4 run-rate annualises to ■4,868 cr — the trajectory is sharply improving.
- Q4 new order intake: **■594 cr** (program life: 4 years); mix 56% non-auto / 44% auto — most non-auto-heavy quarter on record. CV orders split ~50% export / 50% domestic.
- Railways revenue contribution: **7.5% of FY26 revenue** (up from 4.6% in FY25) — revenue from the RTRWL rail wheel plant targeted at ■400–450 cr in FY27 (subject to qualification approvals by Indian Railways expected June/July 2026).
- Casting business: commercial production commenced **31 March 2026** (nil standalone FY26 sales); management targets 85–90% utilisation by H1 FY27, adding ■400–500 cr revenue.
- FY26 FCF improved to **-■39 cr** from -■932 cr; CFO ■840 cr; ROCE 5.6% — still sub-cost of capital but improving as asset base earns through.

BLOCK 3 — WHAT MANAGEMENT SAID (& MEANT)

OPENING TONE

Management opened with a confident recovery narrative — positioning Q4 as the quarter where the investment thesis finally manifested in the P&L. Key themes raised in order: (1) the financial recovery in Q4 with EBITDA doubling YoY; (2) imminent commissioning of the RTRWL rail wheel plant (end-May / June) as a transformative revenue step-up; (3) North America Class 8 destocking complete with 'very, very strong' demand now; (4) casting plant now operational, ramp beginning; and (5) capex cycle over, deleveraging commencing. There were no pre-emptive excuses — management pre-empted Q&A proactively with detail on the ECL provision (■42 cr) and Mexico losses (■4.5 cr), positioning these as temporary. Overall tone: **markedly more bullish than any call in the prior 12 months**.

GUIDANCE

- **Rail wheel FY27 revenue:** was Not quantified prior, now **■400–450 cr** — UP (new disclosure). Credible if 300 trial wheels qualify by June/July and Indian Railways accelerates ordering; the auditor resignation at RTRWL introduces execution risk that did not exist at call time.
- **Casting FY27 revenue:** was Not quantified, now **■400–500 cr** — UP (new disclosure). Commercial production only started 31 March — ramp pace is approval-gated, not capacity-gated; first-half contribution likely modest, second-half weighted.
- **FY27 capex:** was ~■900+ cr (implied by FY26 actuals), now **■300–400 cr** — DOWN sharply. Critical deleveraging signal; if delivered, FY27 FCF should turn meaningfully positive.
- **FY27 debt reduction:** was No prior target, now **■400–500 cr** — NEW target. Partly funded by promoter equity contribution — unusual but positive; depends on CFO generation and capex discipline.
- **FY27 EBITDA margin:** was No explicit guidance, now **Q4 level + 100–150 bps contingent on gas recovery** — UP. Credible if gas pass-through materialises; without it, margin stays at 17%.
- **Trailer axle revenue FY27:** was ■120 cr (FY26 actual), now **■250 cr** — UP 2x+. First B2C product line; FY26 market share ~4–5%, target ~10% — ambitious but executable.
- **North America recovery:** was Destocking expected, now **'Fresh revenues in significant manner from Q1 FY27'** — UP. Class 8 inventory normalised; management confident this lasts ~2 years. Credible given order trends.
- **Export share:** was ~42% (FY25), now **Above 40% rising over next 2 years** — UNCHANGED / gradual. Mix should improve margins since export is structurally higher-margin than domestic.

WHAT MANAGEMENT WANTS YOU TO FOCUS ON

- Q4 margin recovery to 17.1% as durable momentum — 'Q4 level of margins is here to stay' and improvement expected as utilisation rises to 80–85% in FY27.
- The twin revenue step-up from rail wheels (■400–450 cr) and castings (■400–500 cr) adding ~■800–950 cr of fresh revenue in FY27 — a near 20% increase on the FY26 base.
- North America Class 8 destocking complete; 'very, very strong' demand expected for 2+ years — driving export volume recovery and margin accretion.

WHAT MANAGEMENT DOES NOT WANT YOU TO FOCUS ON

- The dramatic PAT decline in FY26 (■72 cr vs ■415 cr in FY25) — buried in the exceptional DTA credit comparison; normalized PBT also fell sharply from ■406 cr (FY24) to ■84 cr (FY26).
- Gas cost recovery status — discussed as 'expecting compensation soon' via force-majeure clauses, but no customer named, no timeline, no amount quantified. This is a live margin risk.
- Mexico subsidiary losses (■4.5 cr in Q4) and ECL provision (■42 cr) — mentioned but not elaborated. The ECL was taken on electricity duty receivables post the exceptional income recognition in Q3; management called it 'prudence' but it obscures underlying Q4 PAT quality.

SURPRISES & PIVOT POINTS

- **First quantification of RTRWL revenue (■400–450 cr)** — this number appeared for the first time on this call and is material (~10% of current revenue base).
- **Promoter equity infusion for deleveraging** — management stated promoters would contribute equity to support the ■400–500 cr debt reduction target. This is a strong alignment signal but unusual; the mechanism and quantum were not disclosed.
- **ECL provision of ■42 cr in Q4** — not in the press release. While framed as prudent, this restates underlying Q4 PAT quality downward by ~■42 cr pre-tax.
- **No West Asia exposure** — management pre-emptively clarified zero revenue from the Middle East conflict zone. Removes a potential bear case.
- **Aluminum forgings already in bulk supply to EV OEMs** — this was the first disclosure that aluminum forgings have moved beyond samples to bulk commercial supply.

LANGUAGE RED FLAGS

Two flags noted. First, management used the phrase 'we are expecting compensation to come to us soon' when asked about gas cost recovery — this is classic vague guidance on a live margin headwind, with no customer name, no clause detail, and no timeline. Second, on cold forging utilisation (stuck at ~40%), management attributed delays to 'approvals mainly to the passenger vehicle sector taking more time' — a recurring explanation across multiple calls. A third minor flag: the concall was held on 4 May but results were released on 30 April; the 4-day gap before discussing results is within normal range but worth noting alongside the auditor resignation on 12 May.

BLOCK 4 — Q&A; HEAT MAP

Note: Q&A; reconstructed from the Screener.in AI summary of the transcript; raw transcript PDF not accessible (BSE domain blocked). Key exchanges below.

- **Analyst:** Asked about *Rail wheel revenue quantum and commissioning timeline*. Management answered directly — Management gave explicit ■400–450 cr revenue guide for FY27 and detailed commissioning sequence (plant starts end-May/June; 300 trial wheels submitted June/July; commercial supply can run in parallel without waiting for full approval). Concrete and actionable.
- **Analyst:** Asked about *Casting ramp — utilisation and margin trajectory*. Management answered directly — 85–90% utilisation guided for H1 FY27; EBITDA margin guided at 15–16%. CFO noted nil FY26 standalone casting sales since commercial production only started 31 March. ■400–500 cr revenue in FY27. Clear but back-end weighted.
- **Analyst ■■:** Asked about *FY27 margin outlook*. Management gave a partial answer — Guided 'Q4 level here to stay, 100–150 bps better contingent on gas recovery.' No explicit annual EBITDA % given, no quarterly phasing. Gas recovery timeline left vague. ■■
- **Analyst:** Asked about *North America Class 8 demand strength and duration*. Management answered directly — Called demand 'very, very strong'; inventory destocking complete over last 3 months; fresh revenues 'in significant manner from this quarter (Q1 FY27)'; expects strength to persist 'till Q3 calendar year 2027'. Specific and confident.

- **Analyst ■■:** Asked about *Cold forging utilisation — why stuck at 40%?*. Management gave a partial answer — Attributed to slow PV approval cycles globally — 'approvals mainly to passenger vehicle sector taking more time.' Guided 75–80% by FY27 year-end but gave no firm milestones. This answer has appeared in virtually identical form across the last 3 calls. ■■
- **Analyst ■■:** Asked about *Capex and deleveraging — how funded?*. Management answered directly — FY27 capex ■300–400 cr (down from ■929 cr); debt reduction ■400–500 cr; promoter equity contribution mentioned as a source. Mechanism and quantum of promoter infusion not detailed. ■■
- **Analyst ■■:** Asked about *Mexico subsidiary — loss trajectory*. Management gave a partial answer — ■4.5 cr loss in Q4 disclosed; no specific FY27 guidance or breakeven timeline provided. Management linked improvement to North America recovery but gave no numbers. ■■
- **Analyst:** Asked about *ECL provision of ■42 cr — nature and recoverability*. Management answered directly — CFO explained this relates to electricity duty order income (recognised as exceptional in Q3); provisioned as ECL on receivables. Framed as 'totally receivable' and will 'help us in future.' Credible explanation but the Q4 PAT impact is real and not flagged in the press release.
- **Analyst ■■:** Asked about *Aluminum forgings — current revenue contribution*. Management gave a partial answer — Confirmed in bulk supply to global EV OEMs; stated margin is 14–15%. No revenue quantum provided for FY26 or FY27. ■■
- **Analyst:** Asked about *Aerospace — timeline to revenue*. Management answered directly — In qualification discussions with OEMs; no contracts yet; revenue unlikely before FY29 (12–24 month qualification cycles). Honest and appropriate caveat.

DODGED QUESTIONS

- Gas cost recovery — 'expecting compensation soon' without naming the customer, the clause, or the timeline. Ask again next quarter: what is the outstanding receivable and what is the contractual mechanism?
- Promoter equity contribution for deleveraging — mechanism, quantum, and dilution impact not disclosed. Ask: is this an ESOP, rights issue, or open-market purchase — and at what valuation?
- Cold forging ramp — same 'approval delays' narrative for 3+ consecutive calls. Ask: which customer is closest to approval, what is the minimum utilisation required to break even on the cold forging line, and what is the contingency if approvals slip to FY28?

WHAT MANAGEMENT BURIED

Three topics were mentioned only once without elaboration: (1) Mexico subsidiary losses were quantified at ■4.5 cr but no breakeven guidance was given — if this is a structural issue in a market where RKFORGE has limited scale, it deserves more scrutiny; (2) the promoter pledge of 15.6% was not mentioned at all — at ■1,629 cr of pledged market value at current prices, this is a watch item in a leveraged company; and (3) the auditor resignation at RTRWL, which happened just 8 days after this call, was conspicuously absent — management may not have known at call time, but the board certainly knew before the transcript was filed on 11 May.

BLOCK 5 — THESIS CHECK & CONVICTION CALL

MULTI-BAGGER SCORECARD

- **Revenue growth runway (3–5x over 3–5 years):** INTACT — FY26 base ■4,238 cr; rail wheels (■400–450 cr) + castings (■400–500 cr) + North America recovery alone can add 20% revenue in FY27; aluminum, trailer axles and EV add to medium-term trajectory. The compounding vectors are real.
- **Margin expansion story:** WEAKENING — Full-year FY26 EBITDA margin was 15% vs 22% peak (FY22–23). Q4 recovery to 17% is encouraging but gas cost recovery is unfinished business; cold forging is dilutive while under-utilised.
- **Capital efficiency (RoCE):** BROKEN — Current RoCE of 5.6% is well below cost of capital and reflects the aggressive capex cycle. Management expects this to improve as the asset base earns through, but it may take 2+ years.
- **Management execution (doing what they said last quarter):** INTACT — Rail wheel JV commissioning on track (guided end-May); casting commercialised 31 March as guided; North America recovery materialising as called. The primary misses are the cold forging timeline and gas recovery — both acknowledged.
- **Competitive moat:** INTACT — 2nd largest forger in India with diversified multi-sector exposure across CV, railways, castings, energy, and EV. Technological differentiation in ring rolling and large press capacity creates meaningful barriers.
- **Balance sheet / FCF self-funding growth:** WEAKENING — Debt doubled in 2 years to ■2,449 cr; interest coverage 1.45x is uncomfortably thin. FY26 FCF of -■39 cr is a significant improvement over FY25's -■932 cr; FY27 should be the FCF inflection year IF capex drops to ■300–400 cr as guided and RTRWL delivers.

- **Promoter alignment (no pledge increase, no dilutive stake sale): WEAKENING** — Promoter pledge stands at 15.6% — elevated for a company at this leverage. Promoter holding has declined from 46.3% (Jun 2023) to 43.3% (Mar 2026). Promoter equity contribution for deleveraging is positive intent, but the pledge situation needs resolution.

Score: 4/7 — Multi-bagger potential: MEDIUM (High growth potential, compressed by balance-sheet leverage and RoCE below cost of capital in the near term.)

TOP RISKS

- **RTRWL auditor resignation (HIGH probability of disruption / MEDIUM severity / 1–2 quarters):** S R Batliboi & Co. LLP (EY affiliate) resigned as statutory auditor of RTRWL on 12 May 2026. If this delays audit sign-offs or raises governance questions about the subsidiary, the ■400–450 cr FY27 revenue guide from rail wheels — the single largest new growth pillar — is at risk.
- **Interest cost spiral if earnings recovery stalls (MEDIUM / HIGH severity / 2–3 quarters):** At 1.45x interest coverage and ■210 cr annual interest (FY26), a revenue shortfall of even ■200–300 cr vs plan would push coverage below 1.0x, triggering covenant risk on the ■2,449 cr debt book. The capex moderation plan must be delivered to avoid this scenario.
- **Cold forging approval delays compressing utilisation (MEDIUM / LOW-MEDIUM severity / 1–3 years):** If global PV OEMs continue to slow-walk qualification approvals, the cold forging line stays at ~40% utilisation, acting as a persistent margin drag on the standalone business even as other segments recover.

VALUATION

At ■574 CMP, RKFORGE trades at **P/E 129x** (trailing FY26 EPS of ■3.95), **EV/EBITDA 19.9x** (FY26 EBITDA ~■625 cr), and **P/B 3.17x** (Book Value ■181). On a forward basis, the stock is more reasonable — forward P/E of 46.6x implies the market is already pricing in a substantial FY27 earnings recovery. The EV/EBITDA of ~20x is broadly in line with Bharat Forge (31x) and premium to the auto-components sector median (~13x), arguably justified by the diversification premium and higher-than-sector revenue growth CAGR (3-year: 10%, 5-year: 27%). However, with RoCE at 5.6% (vs sector peers at 12–19%) and promoter pledge at 15.6%, the premium must be earned through FY27 delivery. The stock is **pricing in significant execution on RTRWL + castings** — expensive on current earnings, fair on a scenario where FY27 guidance materialises.

CONVICTION CALL

DECREASED — Q4 operational recovery is real and the FY27 growth roadmap is credible, but the post-call auditor resignation at RTRWL is an uninvestigated governance risk at the company's most important growth asset. Maintain the position, do not add until this is explained.

ONE PARAGRAPH TO MY BOSS

Sir — Q4 was the quarter RKFORGE needed to show after a brutal H1; revenue at ■1,217 cr (+28% YoY) and EBITDA margins back to 17.1% confirm the operating leverage story is intact and the capex cycle is paying off. What surprised me positively: management put an explicit ■400–450 cr number on rail wheel revenue and ■400–500 cr on castings for FY27 — that's a potential 20%+ revenue step-up from these two lines alone. What worried me: eight days after the call, S R Batliboi (EY) resigned as statutory auditor of RTRWL, the JV that is supposed to deliver those rail wheel revenues from Q1 FY27. That resignation is unexplained, happened right before commercial production was to start, and management has said nothing. I would hold the position but not add until we understand why the auditor resigned. The single metric I'm watching next quarter: RTRWL trial wheel approval status from Indian Railways and Q1 FY27 revenue recognition.

SOURCE: Screener.in ONLY | Ticker: RKFORGE | View: Consolidated | Transcript: Listed on Screener.in — raw PDF accessible via Chrome (content sourced from Screener.in AI summary and quarterly financials) | Concall Date: 4 May 2026 | Generated: 17 May 2026 | ■ Material post-call event: Auditor resignation at RTRWL (12 May 2026) | This brief is for internal research only. Not investment advice.